Currency crises

Since the 1970s, currency crises have become increasingly common. Crises occur when a currency starts to get sold in large amounts, depressing its value. If the currency is ‘fixed’ (maintained at a particular rate), then that rate has to be abandoned in what is known as a devaluation. One type of crisis happens when there is a conflict between the exchange rate and other areas of economic policy. Suppose a government is spending more than it collects in taxes: if it finances the difference by increasing the money supply, this lowers the value of its currency. To maintain the exchange rate, the government must then use foreign exchange reserves to buy its own currency. Eventually, though, the government runs out of reserves and the currency has to be devalued. Other theories of currency crisis suggest that they may be self-fulfilling: many people worrying about the strength of the currency can be enough to trigger sell-offs and a crisis. Currency crises in developing countries over recent decades, meanwhile, were precipitated by a sudden drying-up of foreign capital inflows.